

by nothing more than the population's faith in the government and almost immediately began to devalue. In late 1861, a Confederate dollar was worth 80 cents in gold; by 1865 it was worth 1.5 cents. Inflation plagued rebel currency all through the war, strangling private and public trade, the collection of taxes, and the payment of debts.

To help offset inflation, Memminger resorted to selling bonds as Chase did, but he had no financier to assist him and fewer investors willing to wager their funds. More paper money was printed, and direct taxation forced on an unwilling populace. But only seven percent of the Confederacy's income was generated in this way. Instead, the hated tax-in-kind, or "impressment," initiated in March 1863, provided the bulk of the government's revenue. In many parts of the South, the economy sank into a barter system reminiscent of the European Middle Ages as officials and private citizens haggled over what constituted payment of taxes.



Five dollars' worth

Confederate banknotes were often beautifully designed, but inflation ate away constantly at their monetary value. This one shows Secretary of the Treasury, German-born Christopher Memminger, in the bottom right corner.